

29.01.2025

Dear

I would like to start by wishing all my Chinese friends and business counterparts a very Happy Year of the Snake !

From the Indian perspective our current season has been quite a challenge for the peanut trade. Our winter crop has been quite large and hence prices have declined, which is logical. What is not logical is that while the currency has weakened against the US Dollar, prices have continued to remain flat or low. This means a double whammy in dollar terms. In spite of this attractive pricing, which is constant for the last 2 months, significant extra demand has not picked up for Indian peanuts other than the usual trades to South East Asia etc.

The kharif crop harvested in Oct – Nov 2024 is estimated at almost 10 Million tons of inshells across India. Gujarat government has procured and is procuring about 900,000 mt of inshell. Other states combined would also procure about 900,000 – 10,00,000 Mt of inshell so we are seeing a disappearance of about 20% of the crop into government procurement. All this material, at a later date will need to be liquidated, hence ensuring adequate supply for a large part of 2025. About 3 – 3.5 million tons is traded between local consumption as kernels, oil (local and export) and export of kernels. About 4.5 million tons is between farmers and traders even now. Therefore, it would be safe to say we produced about 20 % more this season compared to the last one. The yields on certain varieties have been quite good and this contributed significantly to the increase in numbers.

Government warehouses are already quite full with soya beans and groundnuts procurement at Support prices from the farmers as of now. Additionally, we have wheat, chick peas etc which will be harvested next month onwards. To support farmers, it is anticipated that there will be procurement initiated at the minimum support prices. The groundnut procurement ends by 8 – 9 Feb 2025 in Gujarat and we have to see what happens to the market once this intervention is out of the way. The fact that warehouse availability is reducing for the government procurement agencies is an added challenge that the government is facing.

New Spanish / Java material has also started arriving in some of the South Indian states, adding to the supply. There is decent offtake for now locally but we have to see how this pans out over the next few days. The quality is very nice visually but aflatoxin levels for EU etc need to be studied.

Coming to the Rabi / Summer crop, prices are not attractive for the peanut farmer so we may see some decline in acreage but since many of them do it historically for crop rotation as well as fodder, the numbers could be fairly similar to last year. Getting accurate numbers of planting intentions at this stage is a challenge.

Peanut oil exports have been a bit of a yo-yo thanks to the slow market in China, which is the main buyer. There is no real parity to crush and ship as oilcake prices have been a huge dampener

but for those of us who have factories which can use the splits etc we do this as an activity to keep the factory running. I don't have numbers available for the new season exports but it is upwards of 30 – 40,000 mt.

The surge in palm oil prices has led to a very narrow gap with peanut oil, which is otherwise a premium oil. While the low price has not led to an increase in direct demand, some small quantities are being used to blend into other edible oils.

Freight rates, while normal for the Far East, which is our biggest market, have continued to remain high for the Med Ports, UK, North Europe etc. Lower freight rates and faster voyage times would surely have helped us get some additional volumes for EU etc.

For those of you who will be in Dubai for the Gulfood next month, it would be a pleasure to meet you in person. Please connect with me on +91 – 98211 17291 so we can grab a coffee at a mutually convenient date, time and place amidst the sea of humanity present there.

Indicative FOB prices for Feb – April shipment, basis Non-EU destinations are as follows –

Bold 38/42s : USD. 1030.00 pmt

Bold 40/50s : USD. 1010.00 pmt

Bold 50/60s : USD 995.00 pmt

Java 50/60 : USD. 990.00 pmt

Java 60/70 : USD. 970.00 pmt

Java 80/90 : USD. 900.00 pmt

Blanched Whole 40/50s : USD. 1265.00 pmt

Blanched Whole 50/60s : USD. 1240.00 pmt

Blanched Split 40/50s: USD. 1200.00 pmt

Blanched Split 50/60s : USD. 1150.00 pmt

Please email me for prices for the EU markets.

Regards – Sanjiv Sawla